ITM MAHIDOL UNIVERSITY

Introduction



Manutsiri Chansutthirangkool
CISSP, CIPM, CISM, CRISC, CEH, CHFI, ISO 27001 LI, ITILv4(f)

The New ITIL

- First introduced in the **1980s**, ITIL has consistently been the **Global Best Practice Framework** across its successive focus areas, now expanding from **IT Service Management (ITSM)** to **Digital Product and Service Management.**
- **In today's AI-driven world**, all products and services are influenced by digital technologies, either directly or indirectly.
- The term **digital products and services captures the full spectrum of digital relevance:** from **traditionally non-digital products** that are enabled, enhanced, or supported by technology across their lifecycle to **fully digital products**.
- When teams use different terminology, models, and assumptions, collaboration slows and value is lost. The **new ITIL** provides **a single, shared language** for organizations to design, manage, and continuously improve **digital products and services** – enabling **superior experiences, coherent strategies, and growth.**

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ITSM & Service Management (ITIL 4)

Legacy Framework & Service Delivery

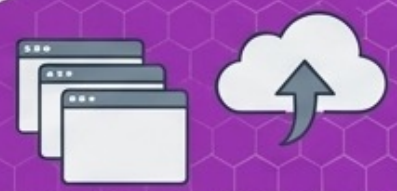
Digital Product and Service Management (ITIL 5)

Holistic Approach for an AI-Driven World

In today's AI-driven world, digital products and services must be approached holistically. The new ITIL unifies how organizations design, manage, and continuously improve them.

NotebookLM

The Spectrum of Digital Relevance



Fully digital by nature



Technology-enabled products



Non-digital

The term ‘digital products and services’ captures the full spectrum of digital relevance. Digital services are fundamentally dependent on these products.

Concept Delta Matrix | Foundational Scope & Roles

Concept	ITIL 4	ITIL 5
Scope	ITSM & Digital Transformation	Expanded to include Digital Product and Service Management (full lifecycle)
Products & Services	Products provide capabilities, services enable value co-creation	Specific definitions derived for Digital products and services
Key Roles	Service providers, service consumers	Adds Product Vendors (can be played by one or different organizations)

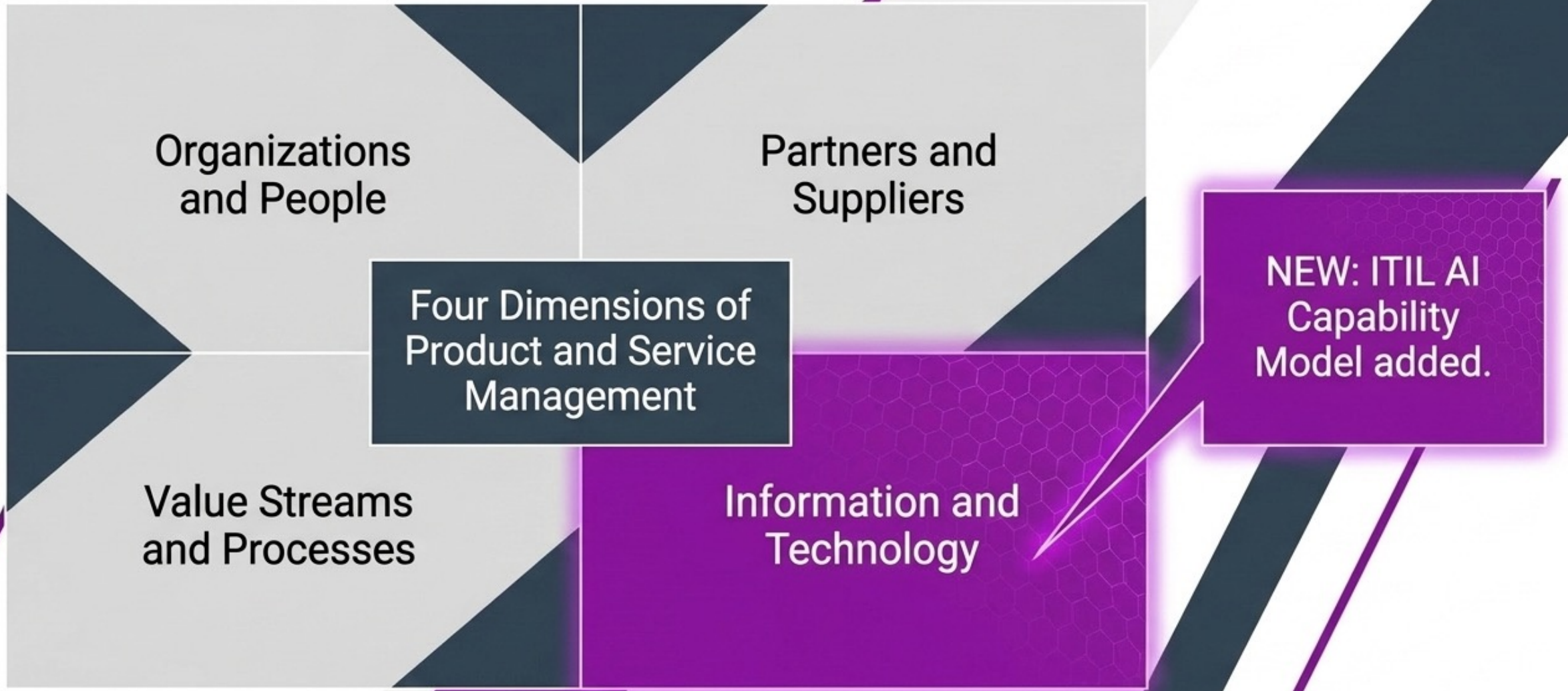
Concept Delta Matrix | Quality & Governance

Concept	ITIL 4	ITIL 5
Service Quality	Utility, warranty, experience	Utility, warranty, experience, Sustainability
Governance	Evaluate – direct – monitor	Evaluate – direct – monitor – Engage stakeholders
Value Streams	Basic definitions	Clarified definitions, linked to the value chain, mapping recommendations added

Sustainability added as a key characteristic

Reflects ISO/IEC 38500:2024

Visualizing the ITIL Four Dimensions Shift

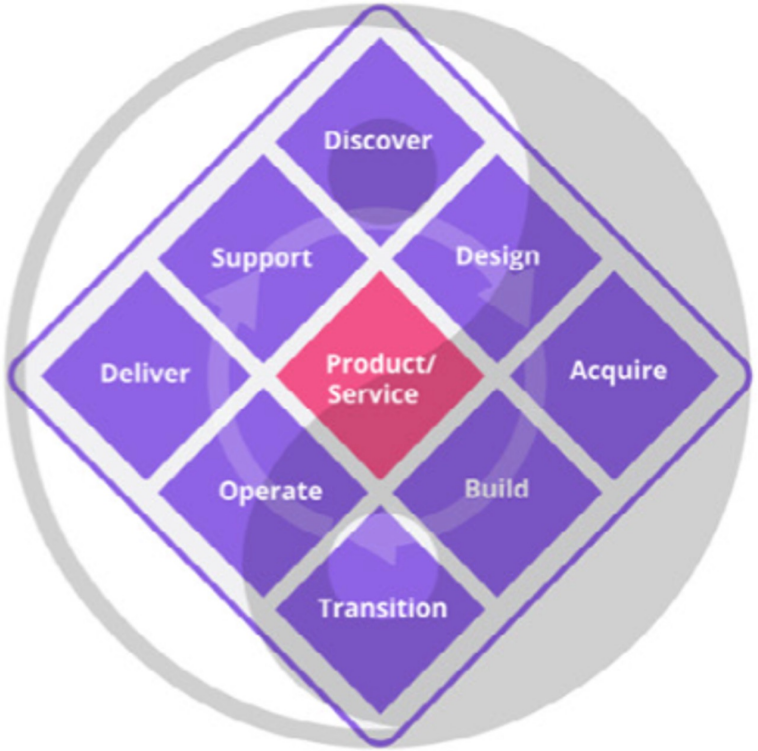


Evolving the ITIL Practices



All **34 ITIL Management Practices** remain **unchanged**. The focus shifts from memorizing individual practices to understanding their practical application within the ITIL Value System to drive growth.

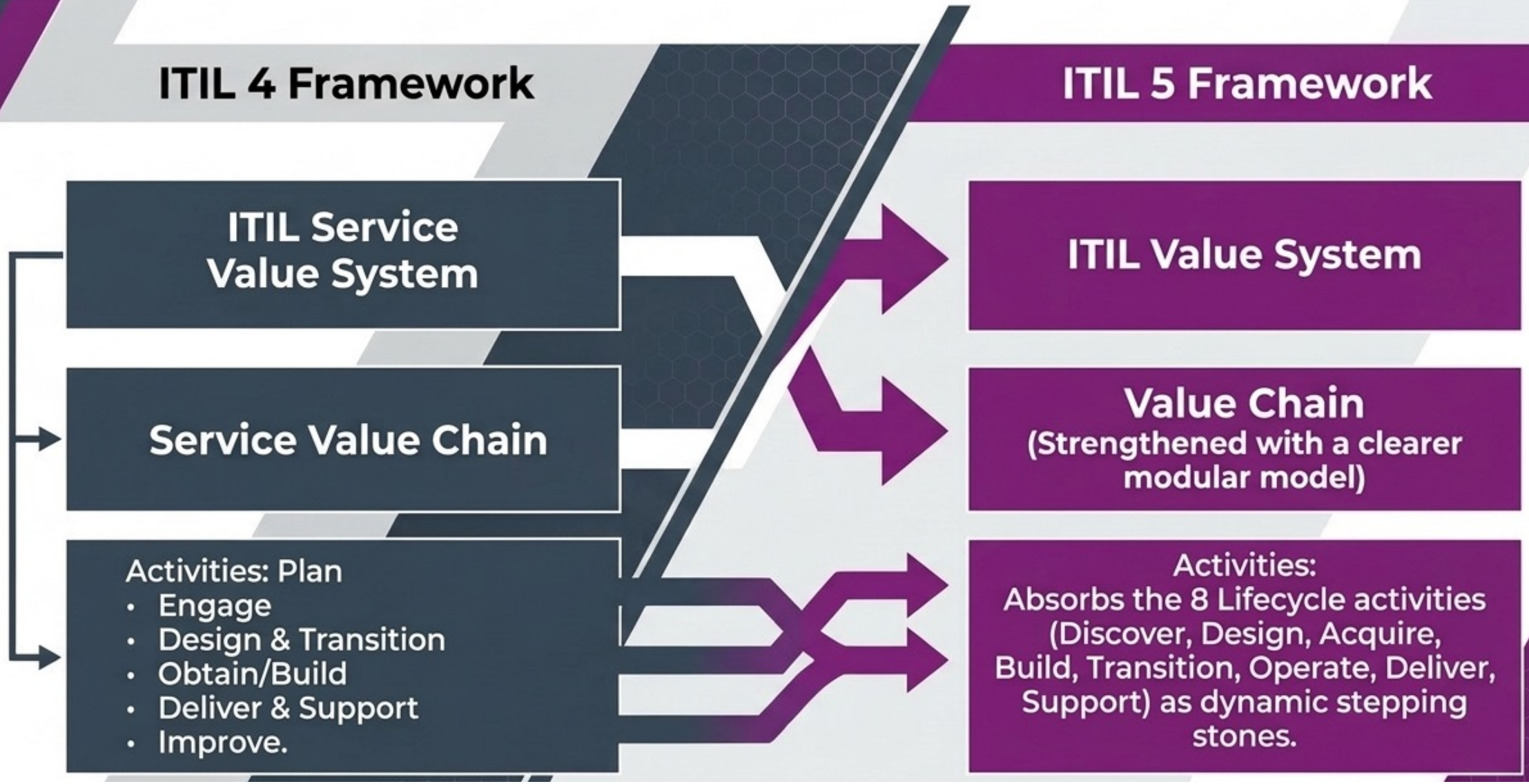
The New Product & Service Lifecycle Model



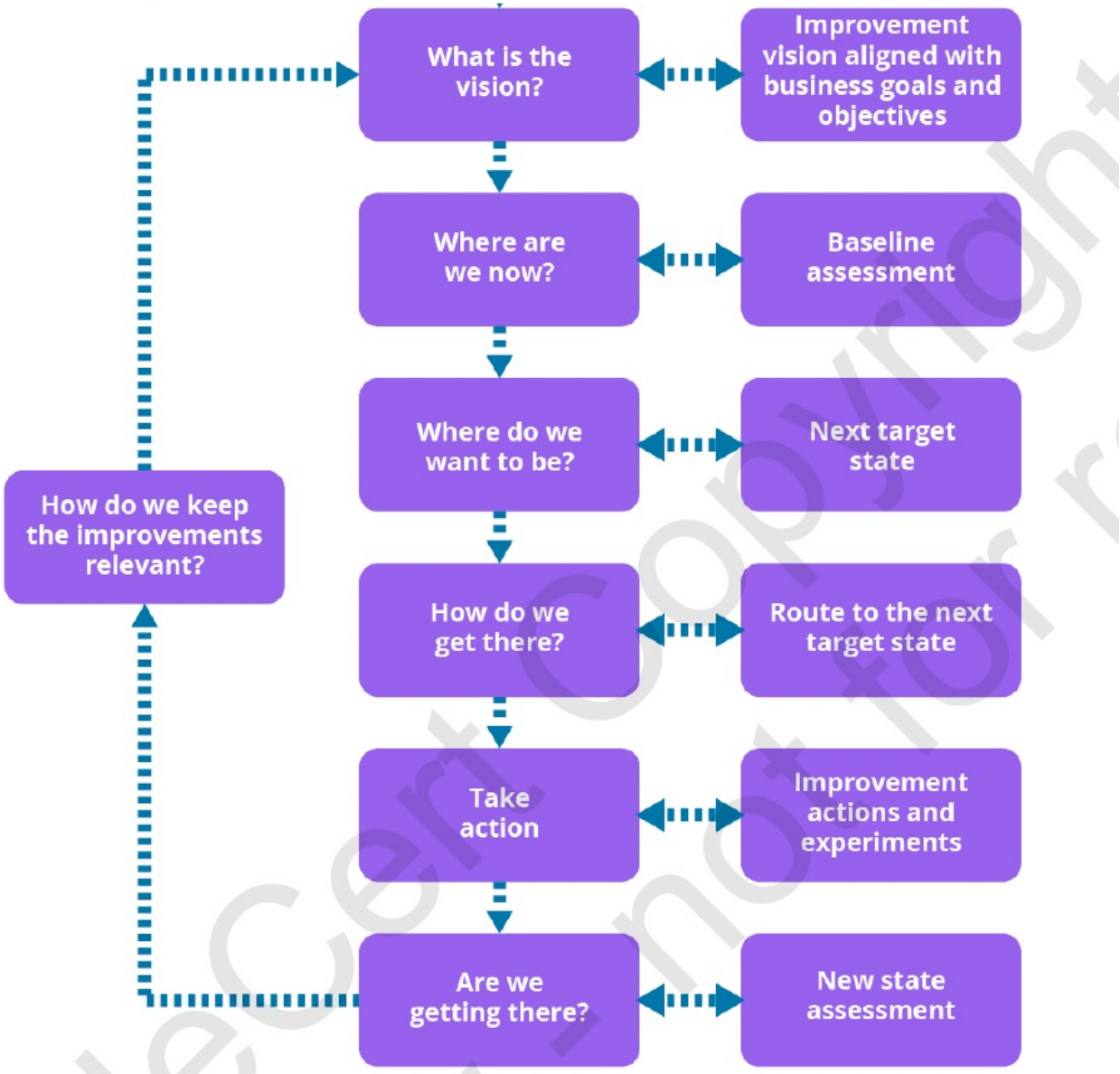
The ITIL Product and Service Lifecycle Model unifies digital product and service management. These 8 activities enable the lifecycle but are not a fixed sequence. They are combined dynamically according to context to form value chains.

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Model Delta Matrix | The Value System



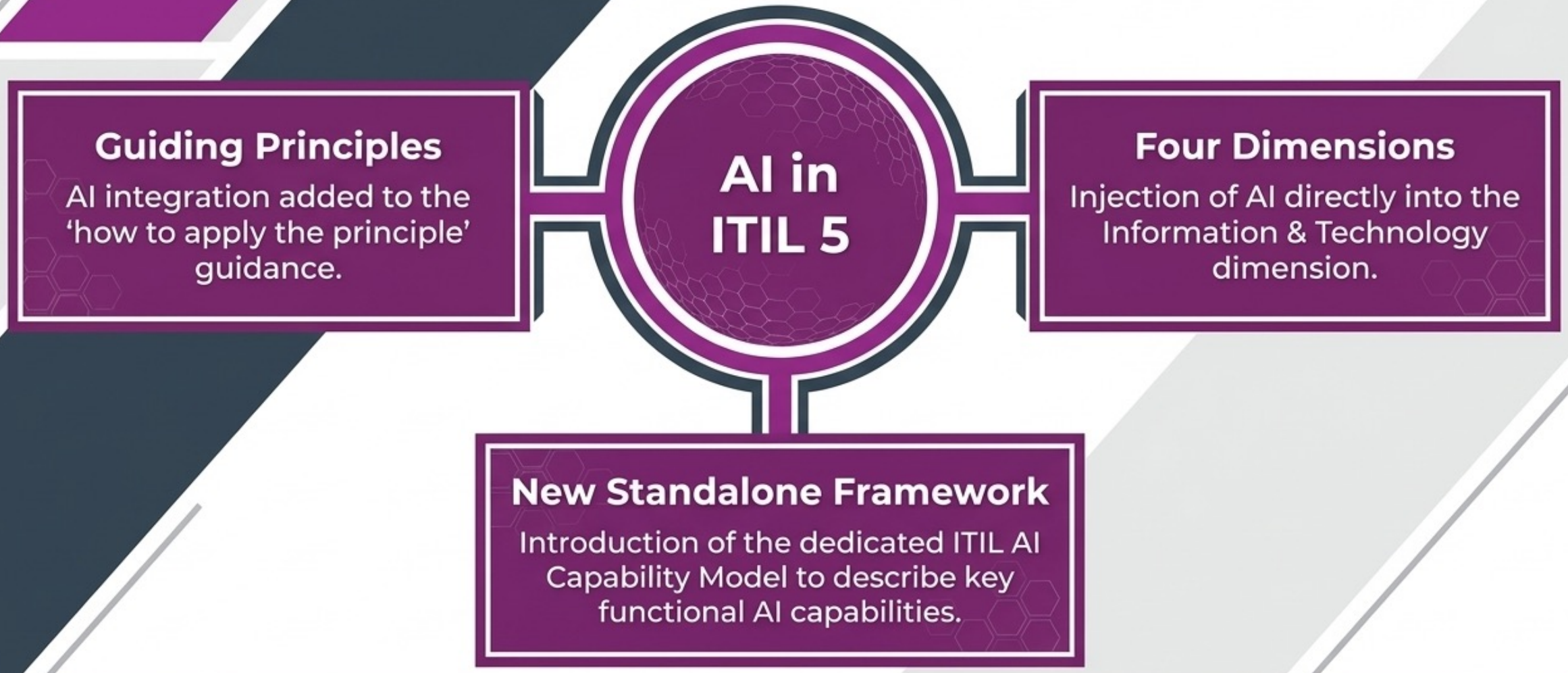
The ITIL Continual Improvement Model



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Synthesis: The Role of AI in ITIL 5



AI is not just a bolted-on topic; it is **woven directly** into the **core principles, dimensions,** and operational capabilities of the framework.

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ITIL (Version 5): The single, shared language to design, manage, and improve digital products—enabling superior experiences, coherent.th.

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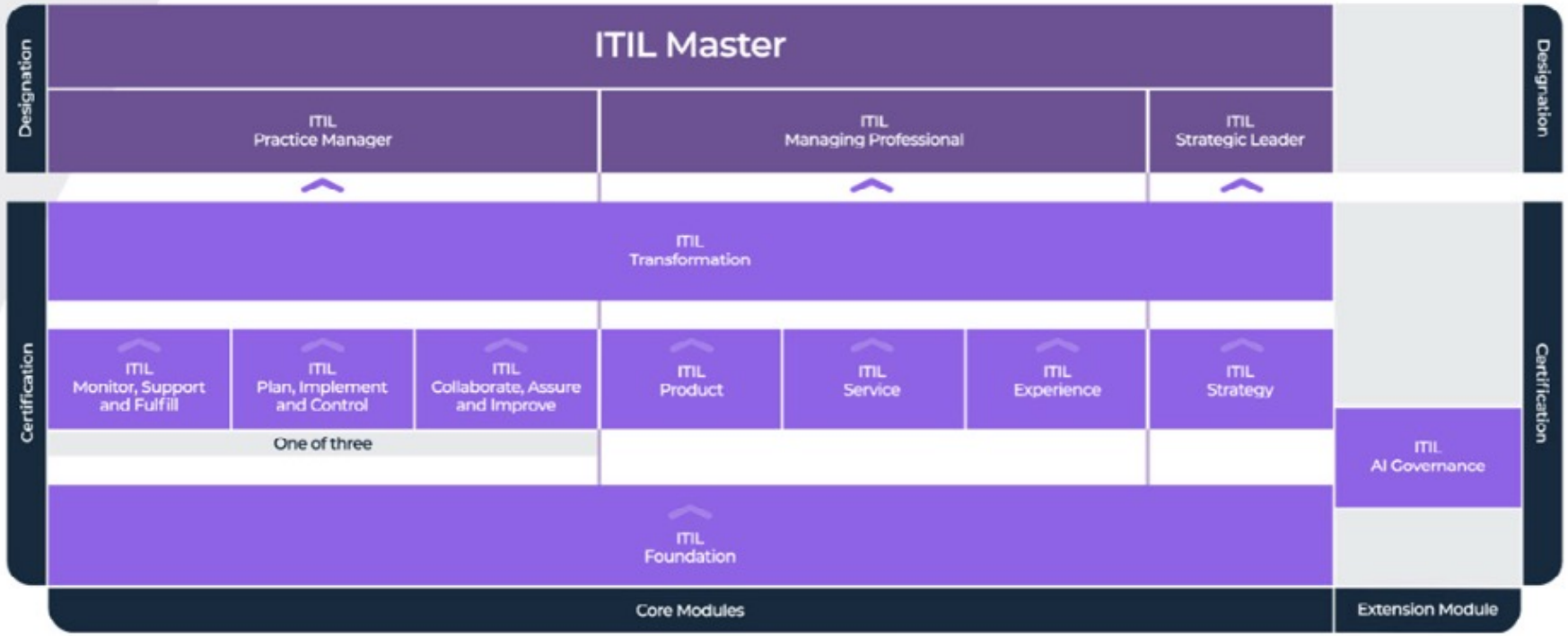
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ESG Commitment

The New ITIL Qualification Scheme

ITIL® Official Qualification Scheme



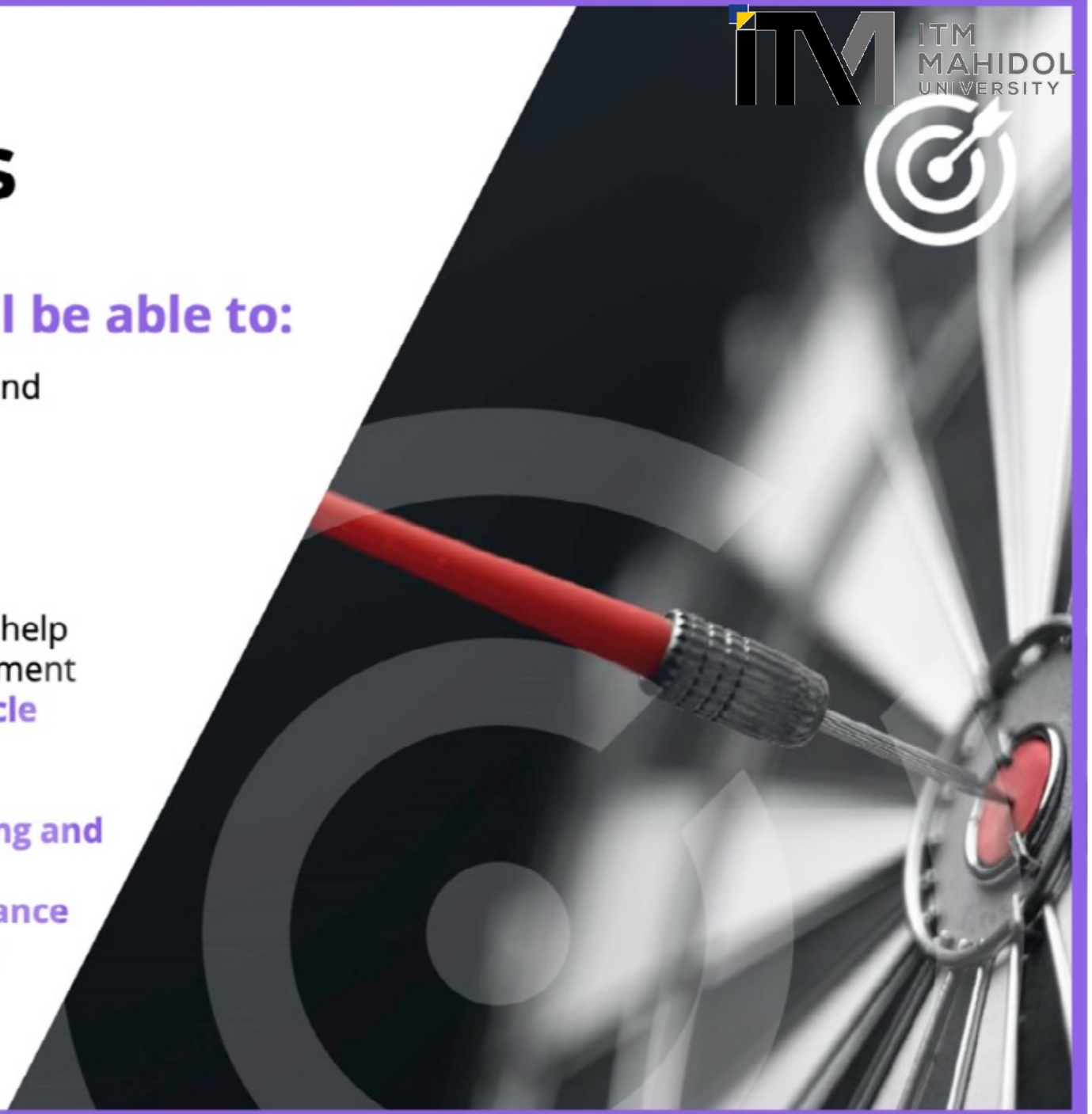
ITIL® Official Qualification Scheme (Version 5.0)

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Course objectives

By the end of this course, you will be able to:

- understand the **key concepts** of digital product and service management
- understand **service relationships**
- understand the **ITIL Four Dimensions** of **Product and Service Management**
- understand the **ITIL Value System (ITIL VS)**
- understand how the **ITIL Guiding Principles** can help an organization adopt and adapt service management
- understand the **ITIL Product and Service Lifecycle Model** and the **value chain activities**
- understand **ITIL Management Practices**
- understand the benefits of **value stream mapping and management**
- understand how **AI affects ITIL**, what **AI Governance** is, and how **ITIL interacts** with other frameworks (PRINCE2® and DEVOPS INSTITUTE®)



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About the course

In this course, we will cover the following modules:

- Module 1: Key concepts of **digital product and service management**
- Module 2: **Service relationships**
- Module 3: **The ITIL Value System (ITIL VS)**
- Module 4: **Governance**
- Module 5: **ITIL Guiding Principles**
- Module 6: **Value chain and ITIL management practices**
- Module 7: **Value streams: mapping and management**
- Module 8: **Continual improvement**
- Module 9: **The Four Dimensions of Product and Service Management**
- Module 10: **ITIL and other frameworks integration**
- What's next?



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Introduction to ITIL Car Rental



Ten years ago, ITIL Car Rental (ICR) was launched in Seattle with the aim to provide convenient and affordable rental cars to customers around the world. After a relatively short time, ICR became a globally recognized company, with a wide network of franchising partners across Europe, the US, and Asia-Pacific, with approximately 400 direct employees. In the first few years of operation, repeat business accounted for nearly a third of all reservations. Shareholders saw steady growth, and the company earned a reputation for putting customers first. ICR quickly became a model of modern mobility: fast, reliable, and profitable. Following its early success, the company expanded through mergers and acquisitions to new markets and new services, including car sharing.

ICR relies heavily on digital technology for internal operations and service delivery, using a mix of internal and external digital products. Customer-facing mobile applications are developed and run by the internal IT team. AI is increasingly used in internal and external products and services for predictive maintenance, customer support, scheduling, smart check-in and return processes, and so on.

As new competitors, such as car-sharing services, rideshare apps, and driverless cars, enter the market, customers now expect a seamless digital experience: quick bookings, app-based help, and flexible options that fit easily into their daily lives. At the same time, customers are paying more attention to companies that value social responsibility, sustainability, and environmental consciousness. These expectations are driving ICR to set clear and ambitious sustainability goals, as well as pursue further growth.

The board members strongly believe that the company's success in the years to come will be defined by innovation and the use of digital technology. For this reason, they appointed a new CIO, Max. Max was chosen for his experience in digitalization and his track record in successful, large-scale IT transformations.

Max's strong background in ITIL and ITSM indicates that he values ITIL certification, and his hiring policy reflects this. Having worked with Design Thinking, DevOps, and agile methods, he believes sustainable business requires a blended approach to digital product and service management. Max is keen to see how his team can redefine the car rental experience and ensure that ICR is the first choice for new and existing customers.

Meet the employees of ITIL Car Rental

Max
Chief Information Officer



Anna
Product Manager



Maria
Business Analyst



Omar
IT Delivery Manager



Sam
Head of Product Development



Alex
Enterprise Architect





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Meet the employees of ITIL Car Rental:



Max, Chief Information Officer (CIO)

Max is the new CIO. He is an experienced executive with a track record of leading digital transformations. He believes in an integrated approach to DPSM.



Anna, Product Manager

Anna has been with ITIL Car Rental for five years. She focuses on commercial success and continual B2C development. She is detail-oriented, eco-conscious, and dedicated to improving overall customer experience.



Maria, Business Analyst

Maria is a proactive communicator who ensures smooth collaboration between IT and business teams. She works mostly on discovery and planning activities, supporting continual improvement of the company's digital products. She asks a lot of questions and is great at spotting patterns and trends.



Omar, IT Delivery Manager

Omar manages ongoing service delivery. He applies ITIL practices to improve efficiency and customer satisfaction. However, Omar has had little experience with a blended or collaborative approach to product and service management.

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Sam, Head of Product Development

Sam has more than 10 years of experience in leading cross-functional product teams in the domains of mobility and automotive innovation. He oversees the entire product lifecycle at ITIL Car Rental from strategic vision to delivery and ensures that customer needs, market trends, and sustainability are all in sync.



Alex, Enterprise Architect

Alex is responsible for ensuring that product design and technological strategy are aligned, sustainable, and future-proof. She provides architectural guidance across teams, works to identify systemic risks, and holds coherence in a fast-changing digital ecosystem. She is highly analytical with a strong intuition for patterns and risks.

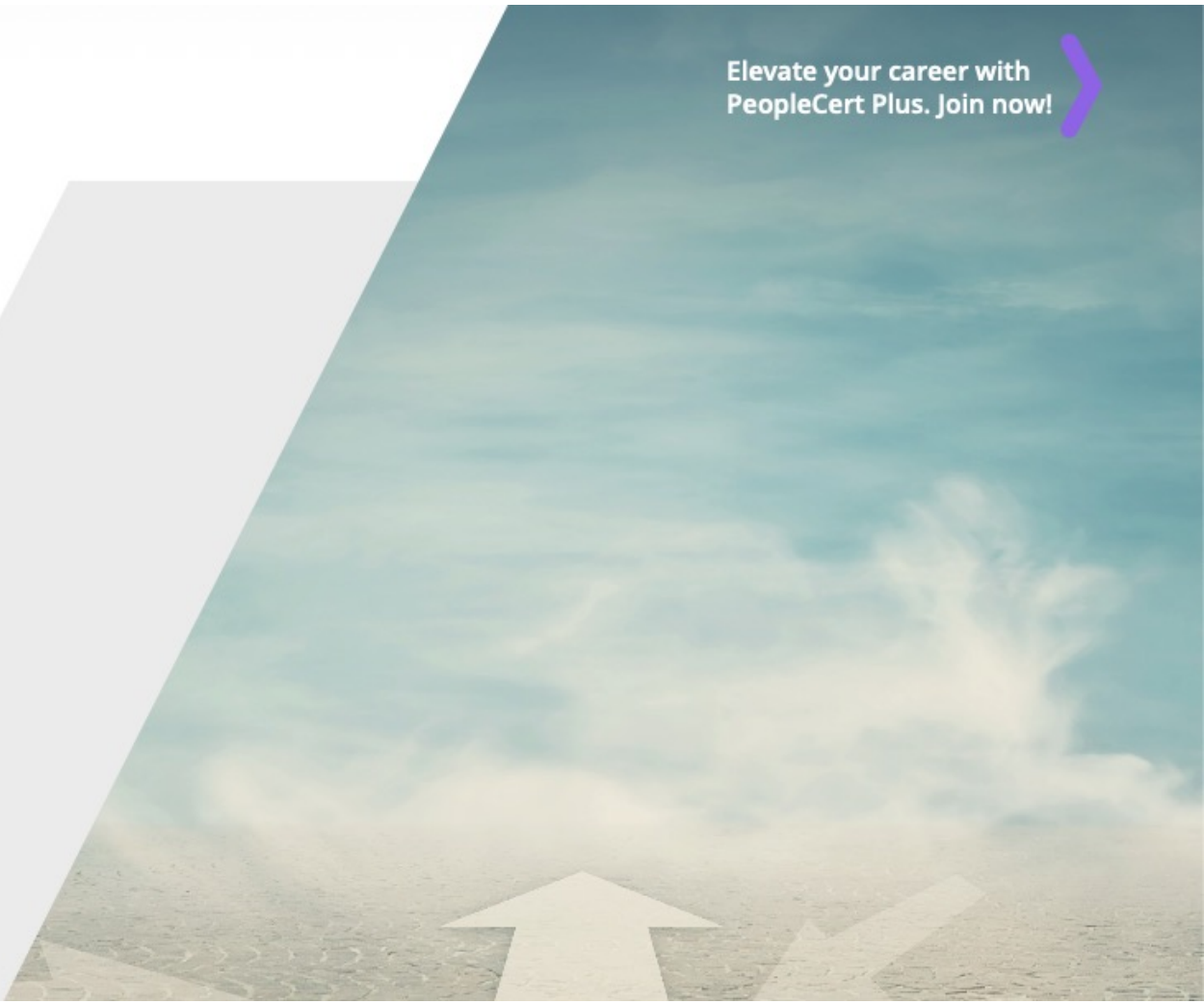
The CIO's vision for ITIL Car Rental



Max: We live in an era of rapid change, where all companies are going through some kind of digital transformation. Service expectations have changed drastically since ITIL Car Rental was created 10 years ago. Customers want seamless and immediate access to rental services from their smartphones, as well as innovation as part of their daily lives. Autonomous vehicles are the future; they will make car rental companies stand out and continue successfully. My vision is for ITIL Car Rental to pioneer this transformation and become the go-to name for car rentals worldwide. We will continue offering outstanding customer service while maintaining competitive car rental rates. After all, ITIL Car Rental is more than just a service. We are here to enhance the entire travel experience.

Module 1

Key concepts of digital product and service management



Syllabus

- 1.1 Product and service management
  - 1.1.1 Define digital product and service management (3.1, Glossary)
  - 1.1.2 Define product and service as a key concept of digital product and service management (3.1.1, Glossary)
  - 1.1.3 Define digital product and digital service as a key concept of digital product and service management (3.1.2)
  - 1.1.5 Define the ITIL Product and Service Lifecycle as a key concept of digital product and service management (4.1)
  - 1.1.6 Define goods (3.1.2, Glossary)
- 1.2 Service offering
  - 1.2.1 Define service offering (3.1.2)
  - 1.2.2 Define service actions, transfer of goods, and access to resources (3.1.2)
  - 1.2.3 Explain service offering (3.1.2)
  - 1.2.4 Explain service actions, transfer of goods, and access to resources (3.1.2)
- 1.3 Value co-creation (all Assessment Criteria included)



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What you will learn

By the end of this module, you will be able to:

- define digital product and service management and its purpose
- define goods, product, service, digital product, and digital service as key concepts
- define the ITIL Product and Service Lifecycle as a core concept of digital product and service management
- define service offerings and service interactions
- explain how service offerings and service interactions support service consumption
- define value, value co-creation, cost, and risk in service management
- understand the difference between outputs and outcomes.



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The Shift to Industry 5.0

Technology is shifting from human automation to human-centric collaboration, **sustainability**, and **resilience**. Over the last 40 years, good practices have undergone a major **paradigm shift**.

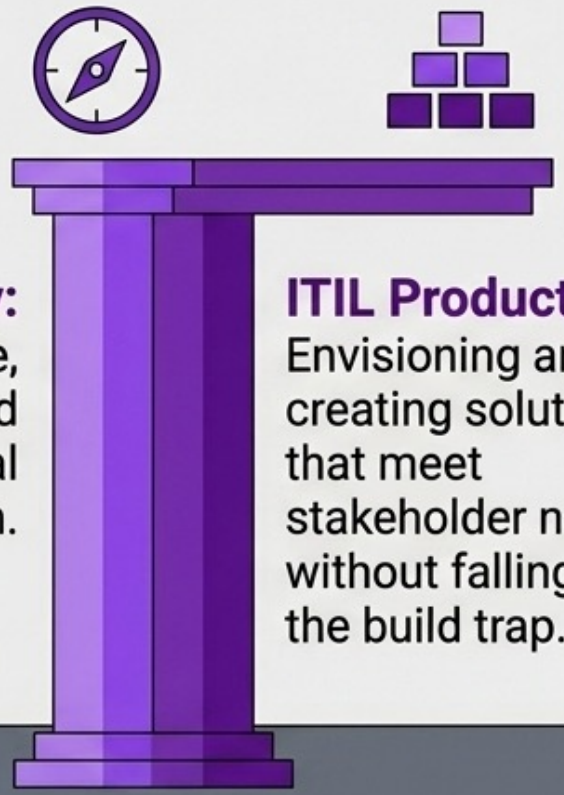
Past (Industry 4.0)		Future (Industry 5.0)
Managing IT Systems	→	Managing **Digital Products & Services**
Focusing on Outputs	→	Focusing on **Value, Outcomes, & Experience**
Optimizing for Efficiency	→	Enabling **Adaptability & Resilience**
Prioritizing Profit	→	**Balancing Profit, People, & the Planet**
Silos & Specialization	→	**Cross-functional Collaboration**

The New ITIL: The Language of Growth

- Evolved from traditional IT Service Management (ITSM) to an integrated framework for **Digital Product and Service Management**.
- Provides a **single, shared language** to eliminate silos and prevent value leakage across diverse teams.
- Fully **complexity- and AI-native**, integrating modern approaches like Lean, Agile, and Product Management.
- Applies to the entire spectrum of business: from non-digital goods enabled by technology to fully native software products.

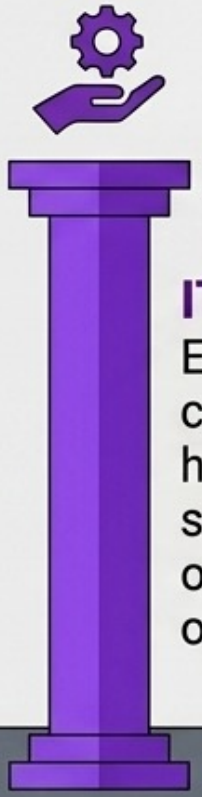


Comprehensive Guidance for Digital Transformation

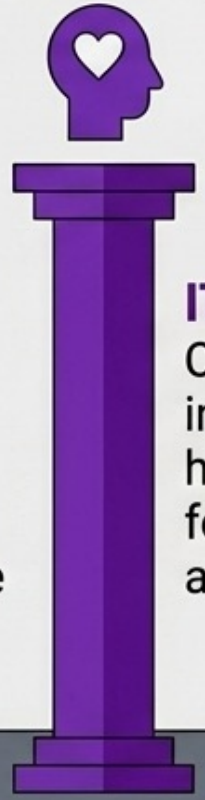


ITIL Strategy:
Defining adaptive, responsible, and sustainable digital direction.

ITIL Product:
Envisioning and creating solutions that meet stakeholder needs without falling into the build trap.



ITIL Service:
Enabling value creation via high-quality support and optimized, reliable operations.



ITIL Experience:
Continually improving the human interactions for both providers and consumers.

Supported by **ITIL Transformation** (driving organizational change) and **ITIL AI Governance** (balancing innovation with risk).

A Framework for the Entire Ecosystem

ITIL provides a common language bridging all players in the technology landscape.



Enterprises

Organizations using digital tech to enable their core non-digital business.

ITIL aligns investments with clear business strategy.



Managed Service Providers (MSPs)

Delivering capabilities as-a-service. ITIL ensures workflows are optimized and compatible with partners.



Digital Product Organizations

Startups to large software vendors. ITIL connects product development with ongoing service management.



Consultants

Experts guiding transformation.

ITIL provides the maturity models and structured practices for change.

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How digital are our products?

Goods

Tangible resources that are transferred or available for transfer from a service provider to a service consumer, together with ownership and associated rights and responsibilities.

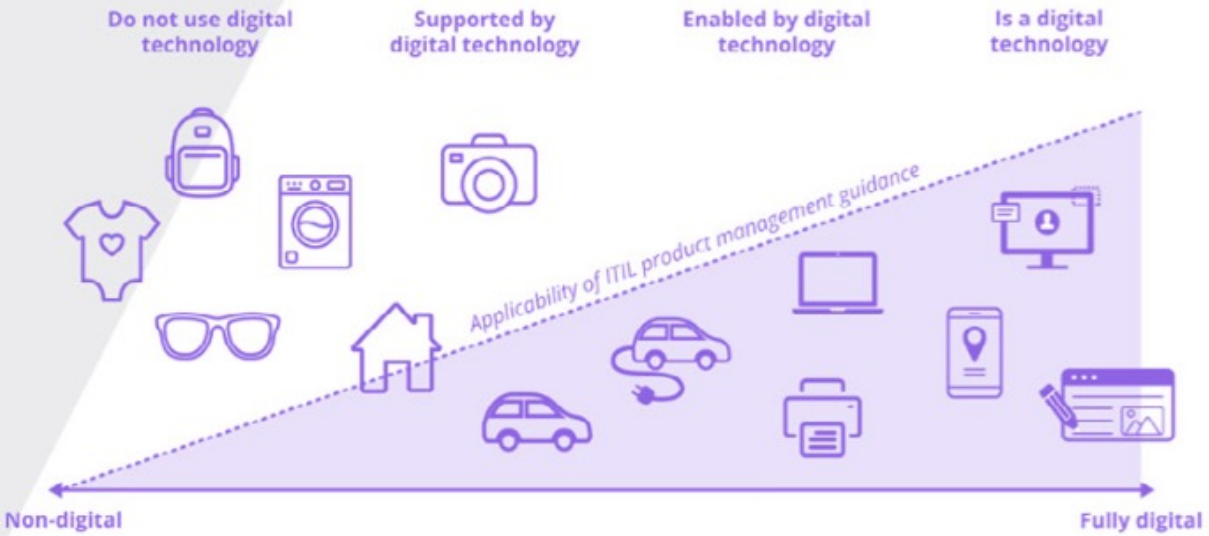


Figure 3.2 Role of digital technology: from non-digital to purely digital products

- Product design and production systems
- Dependency on physical resources and materials
- Dependency on physical delivery
- Impossible to diagnose and fix remotely
- Clear border between production and use
- Transfer of goods is the primary form of value creation
- Digital product and service management
- Digital resources (software and virtual infrastructure)
- Instant digital delivery
- Can be diagnosed, fixed, and improved remotely
- Developed/improved based simultaneously
- Access to services is the main form of value creation

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(Digital) product and (digital) service

Product

A configuration of an organization's resources designed to offer value for a consumer.

Service

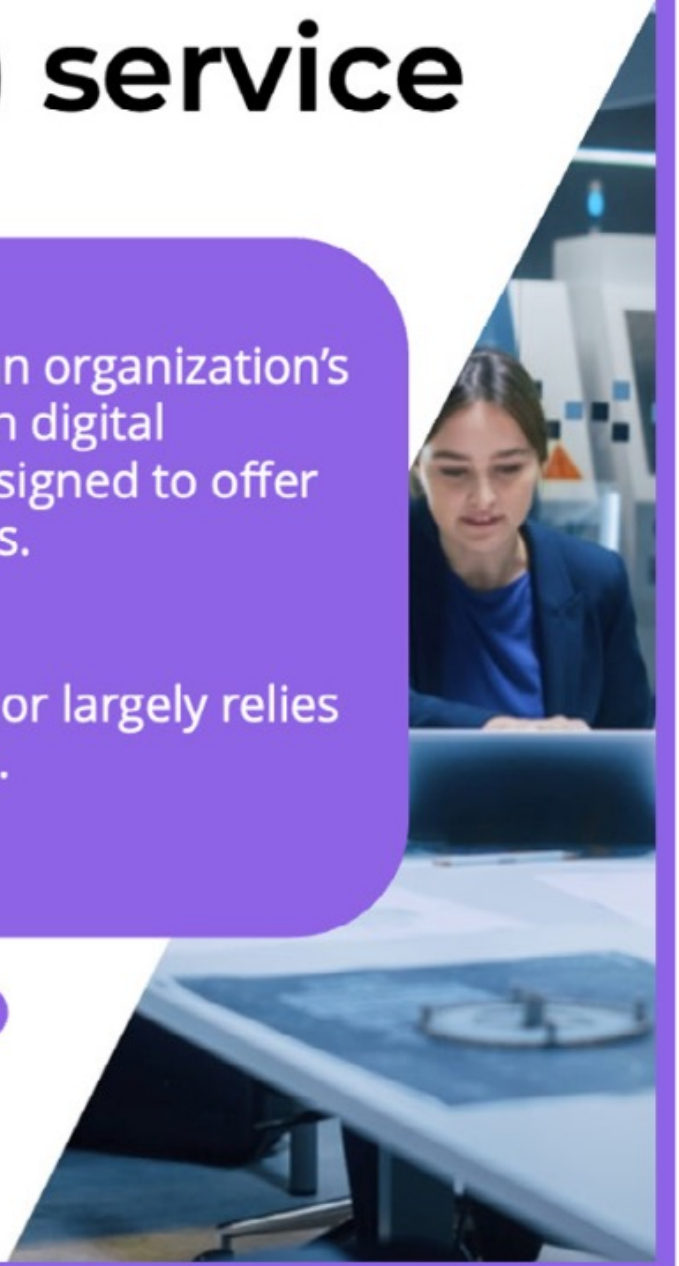
A means of enabling value co-creation by facilitating outcomes that customers want to achieve, without the customer having to manage specific costs and risks.

Digital product

A combination of an organization's resources based on digital technology and designed to offer value to consumers.

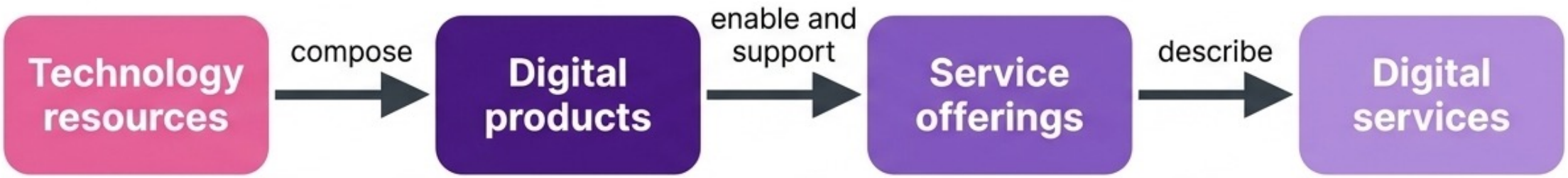
Digital service

A service that fully or largely relies on digital products.



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Relationships Between Digital Products and Services



- **Digital services** are *always* based on digital products. They are core to the value proposition.
- **Products** provide capabilities; **Service Offerings** describe potential value.
- **Crucial Insight:** One product may enable many services, and one service may be based on several products.

Digital product and service management

Digital product and service management

A set of specialized organizational capabilities for enabling value for customers in the form of digital products and services.



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The ITIL Product and Service Lifecycle (1/2)

User and customer experience rely on the quality of digital products and the service provider's management system. **To deliver high-quality services, organizations must**:

- capture and process customer's needs, requirements, and feedback
- discover needs and opportunities, and design digital products and services
- acquire necessary resources and build digital products
- deliver and support digital services.

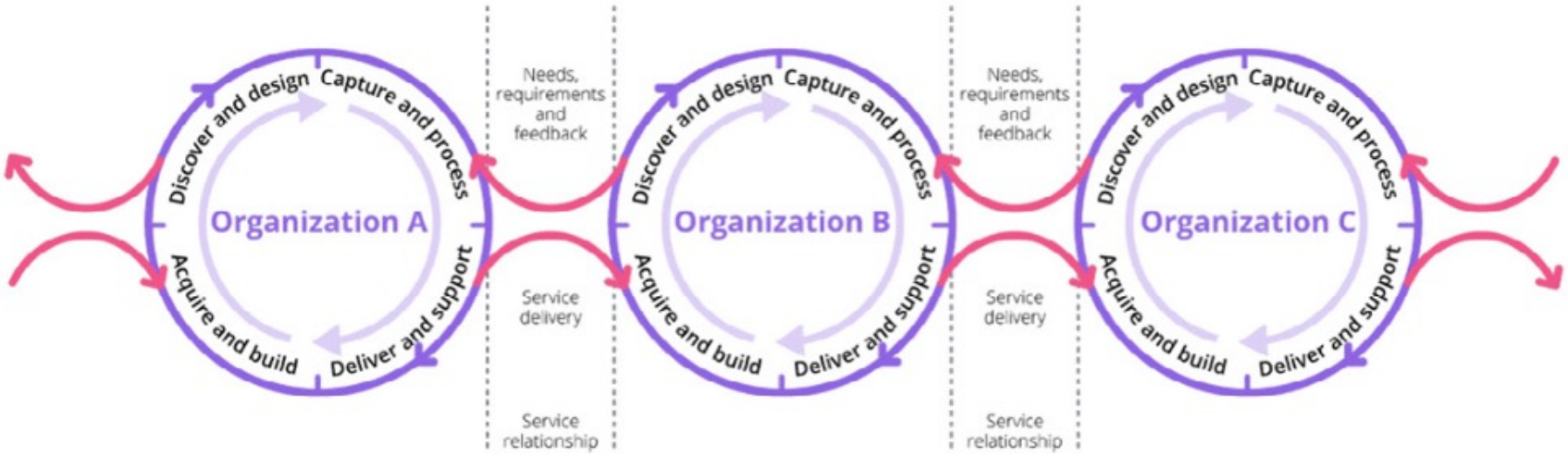


Figure 1.5 The ITIL Service Relationship Model

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The ITIL Product and Service Lifecycle (2/2)

The **Product and Service Lifecycle Model** includes eight lifecycle stages. To manage digital products and services throughout their shared lifecycle, organizations perform eight lifecycle management activities of the same name:

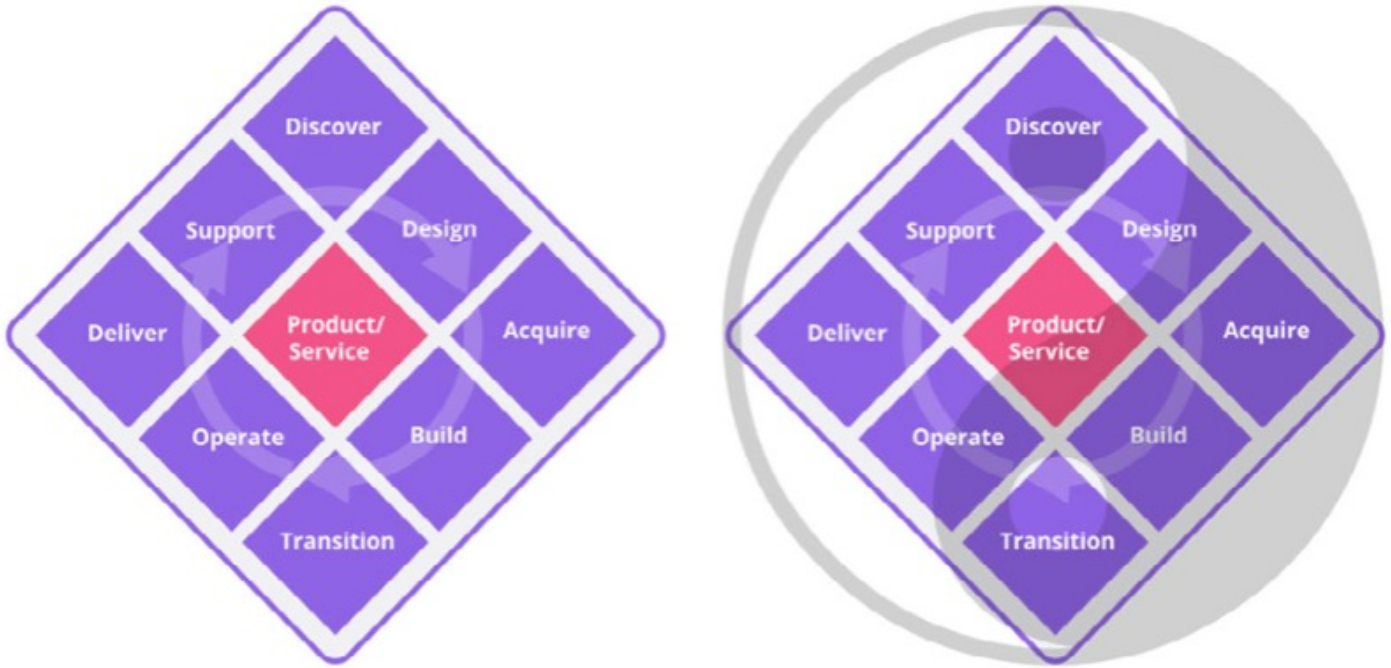


Figure 4.1 The ITIL Product and Service Lifecycle Model | Duality

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Service offerings

Service offering

A formal description of one or more services designed to address the needs of a target consumer group. A service offering may include goods, access to resources, and service actions.

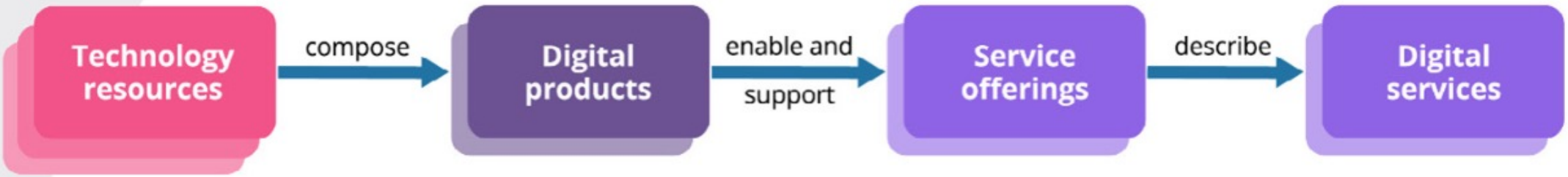


Figure 3.3 Relationships between technology resources, digital products, service offerings, and digital services



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What is a service offering

Service offerings may include:

Transfer of goods

- **Transferred** from service provider to service consumer.
- Rare in digital services.
- Service providers aim to minimize the need to transfer goods.

Examples: transfer of equipment or consumables.

Service actions

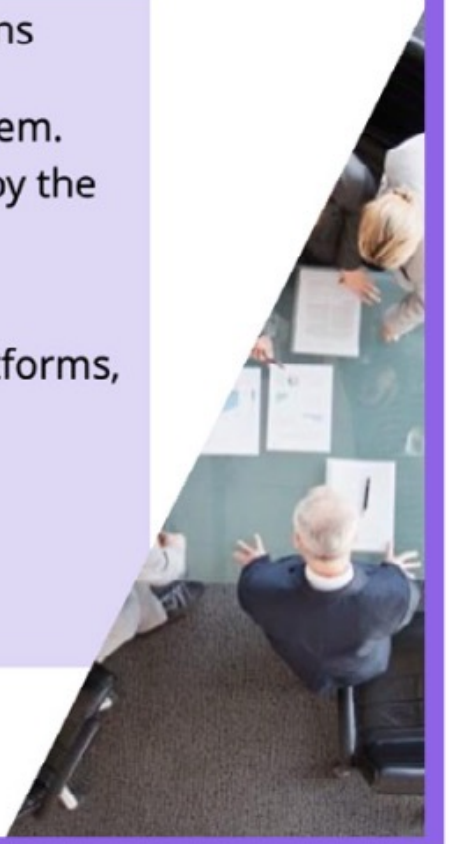
- **Service actions** are performed by the service provider or by the service provider and service consumer.
- **Service request fulfilment** is a common form of service action.
- Digital service providers aim to reduce the need for service action.

Examples: delivery of goods, user trainings, consultations.

Access to resources

- **Service consumer** gains **access** to provider's **resources** and uses them.
- Resources are owned by the service provider.

Examples: hotel rooms, vehicles, applications, platforms, networks, cloud services.



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Digital services and digital products at ITIL Car Rental



Alex: ITIL Car rental service has a long history, and the role of digital technology has evolved significantly over time. Initially, digital services were only used as optional alternatives to more traditional methods; for example, customers could book a car by phone or via a website. Later, mobile apps were introduced and quickly became the go-to way of booking for most of our customers. The addition of new features, such as in-app payments, AI-based damage detection, and smart fuel-level tracking, has made the whole user journey, from booking to vehicle return, fully digital. The car rental service has become a digitally enabled service. Today, as we introduce driverless cars, we offer a digital service of private transportation, built on a digital product that integrates vehicles from our partner with our own applications and information systems.



Max: But is it correct to call a driverless car a digital product? Afterall, it is still a vehicle made of plastic and metal and not a piece of software.



Alex: Great question, Max, you are right! However, the role of digital technology in these cars and in the way they operate is critical. They simply will not work without it, just as a smart phone or a laptop. Digital products can include hardware.

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Value

Value

The perceived benefits, usefulness, and importance of something.

Service value

The perceived benefits, usefulness, and importance of a service.

Value co-creation

The collaborative process by which service providers, consumers, and other stakeholders jointly create value through the use of products and services, by combining resources, capabilities, and actions across the service relationship to achieve desired outcomes.

Value is the **foundation** of product and service management, and every service relationship is built around the idea of creating and delivering value.

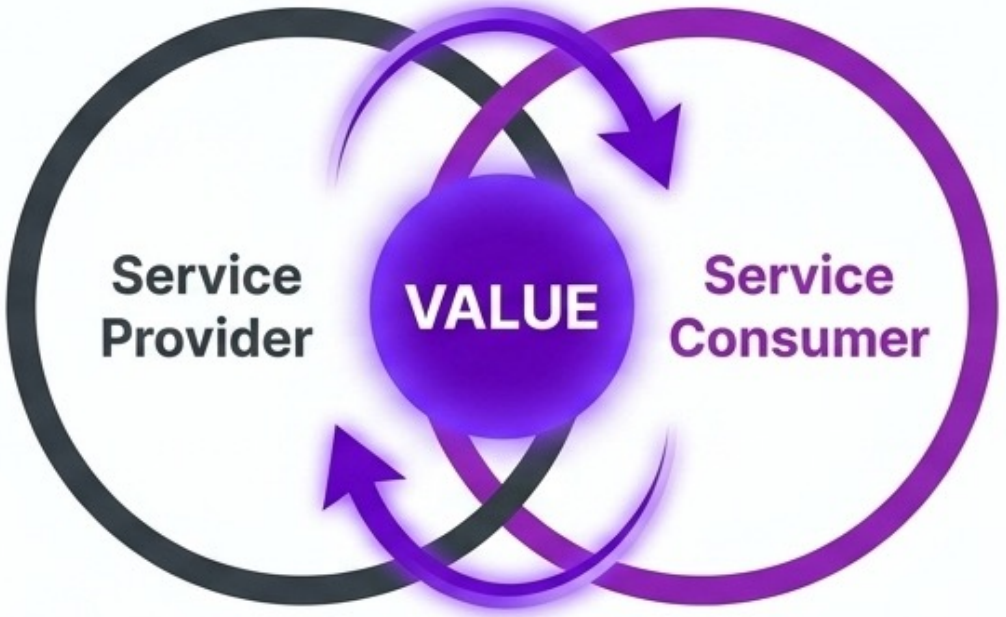
Achieving outcomes requires **resources** and involves **risks** in co-creation. Service providers help their consumers to achieve outcomes in doing so, take on some of these costs and risks.



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Value is Co-Created

Value Co-creation: The collaborative process by which providers, consumers, and other stakeholders jointly create value through the use of products and services.

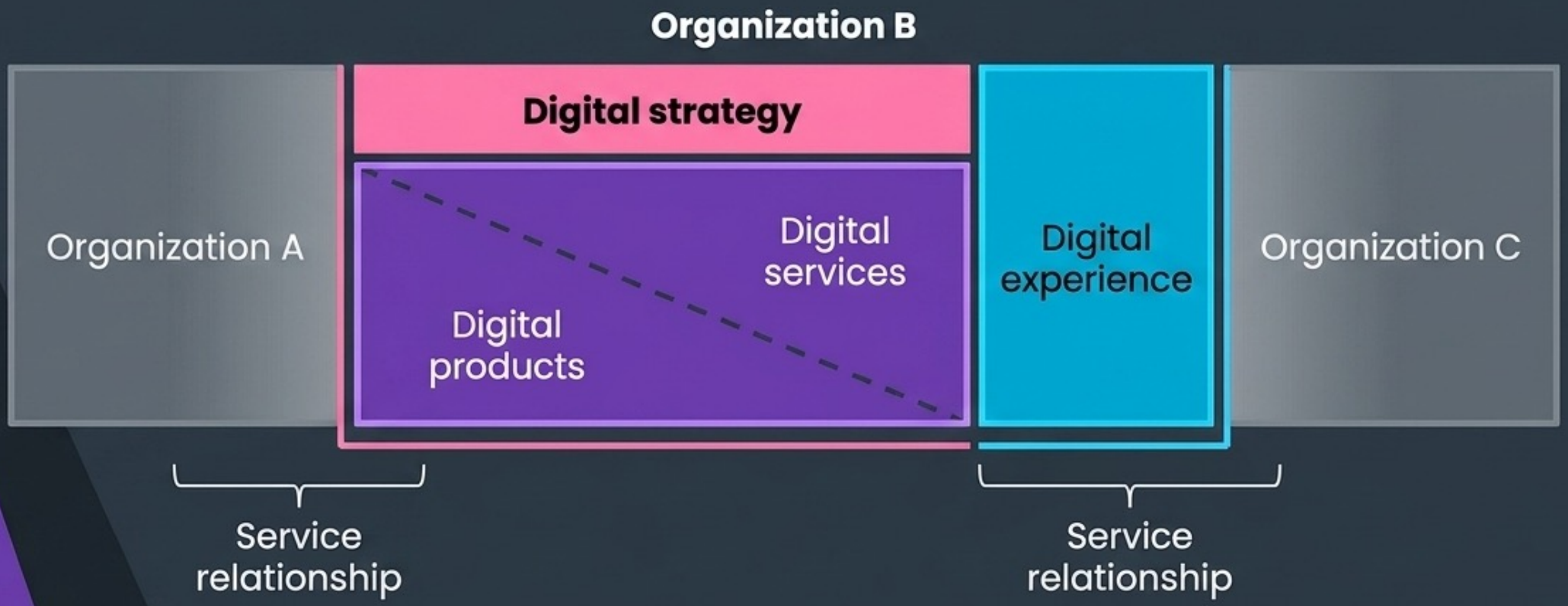


Value is the **foundational bedrock** of all product and service management.

It requires combining resources, capabilities, and actions across the **entire service relationship**.

Service providers help consumers achieve outcomes and, in doing so, **take on some of the consumer's costs and risks**.

Digital value is co-created across complex service relationships.



Value, outcomes, costs, and risks

- **Services** can introduce **new costs and risks,** and in some cases, they can **negatively affect** certain intended **outcomes** while supporting others.
- **Services** are perceived as valuable only when they have **more positive** effects **than negative** ones.

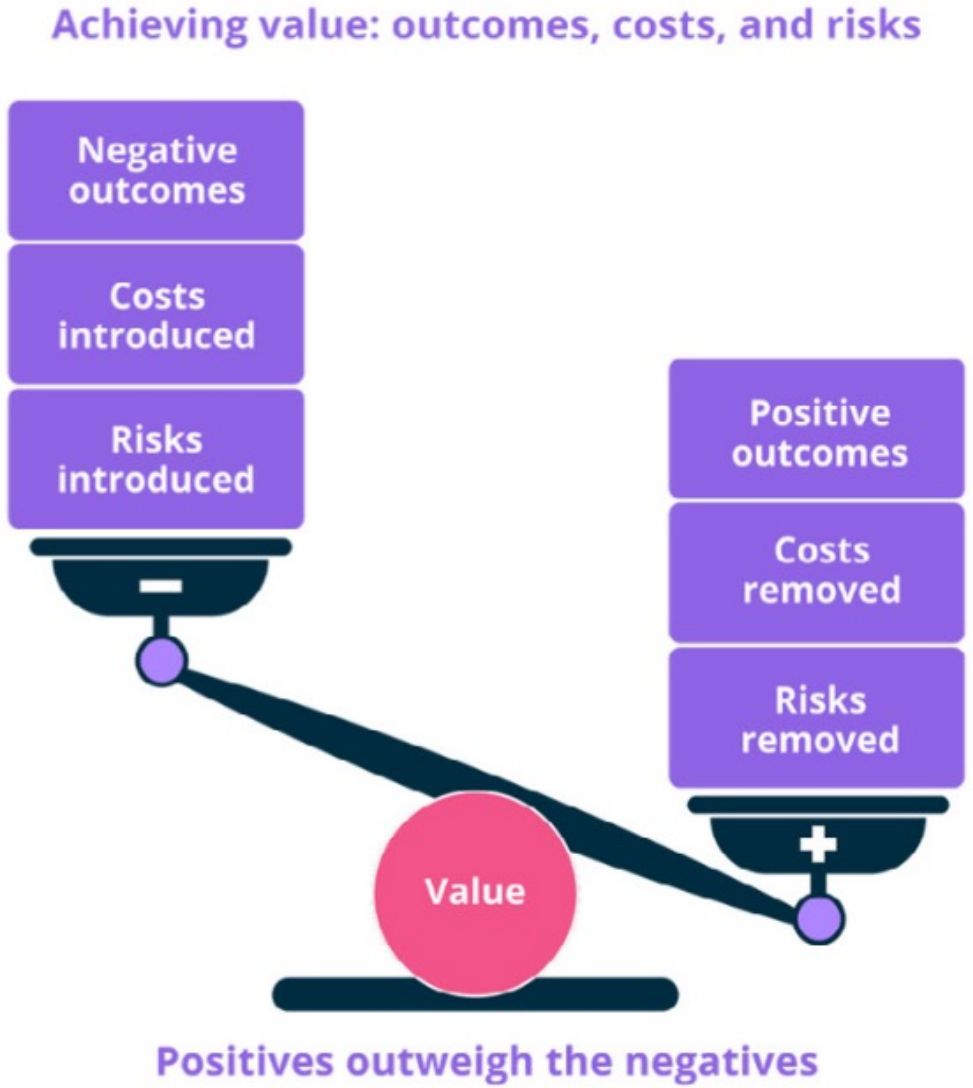


Figure 3.1 Achieving value: outcomes, costs, and risks

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Service value at ITIL Car Rental



Max: In cities with high tourist traffic, there has always been demand for car rental services. However, lately, many residents of large cities, especially young people, prefer 'car-as-a-service' models, such as taxis or car sharing, even for regular short trips, instead of owning a private vehicle. This choice is not only more economical but also more environmentally responsible, helping to reduce emissions and overall traffic congestion in the city. At the same time, it offers flexibility and comfort not available in public transport.

At ITIL Car Rental, we provide a variety of services: car-sharing, car rental, and our brand-new service, driverless cars. Our service helps customers achieve mobility without the extra costs related to owning a car. But for our services to be truly valuable, we must consider not just the convenience we provide, but also how we manage costs and risks for our customers. That is the true essence of service value.

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The Focus on Outcomes

Output: A tangible or intangible deliverable of an activity (The *What*).

Outcome: A result for a stakeholder enabled by one or more outputs (The *Why*).

Cause and Effect

ITIL Car Rental example

Output
The customer arriving at their physical destination.

For the Customer:
Flexibility, comfort, and affordability.

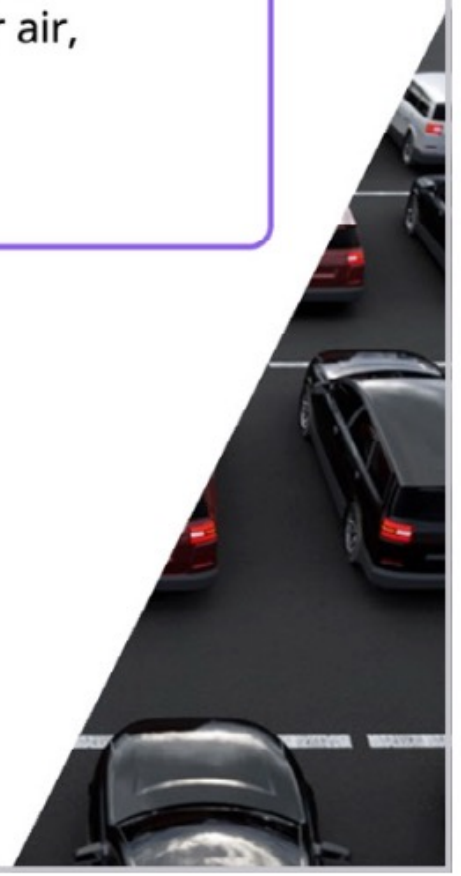
For the City:
Reduced emissions, fewer cars on the road, cleaner air.



ITIL Car Rental | Outcomes



Max: At ITIL Car Rental, an output might be the customer arriving at their destination. The outcomes vary for different stakeholders. For our customers, it is flexibility and comfort of city transportation at affordable prices. For the cities, it is fewer cars on the road, cleaner air, and a potential reduction in traffic accidents. We design our services with different stakeholders and outcomes in mind.



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Cost



Cost

The amount of money spent on a specific activity, resource, product or service.

From the service consumer's perspective, there are **two groups** of cost involved in service relationships:

Consumer's costs

- Costs reduced or **removed** by the service (as intended in a service offering).
- Costs **imposed** by a service (the costs of service consumption).

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ITIL Car Rental | Costs



Anna: By offering this service, we allow our customers to reduce or eliminate the cost of owning a car. At the same time, every journey with our car is associated with costs for our customers. Customers decide which means of transportation makes more sense to them.

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Risk

Risk

A possible **event** that could cause harm or loss or make it more difficult to achieve objectives.

As with costs, there are two types of risk that are of concern to service consumers:

Service consumer risks

- Reduced/fully removed by the service (value proposition).
- Imposed by the service (risks of service consumption).



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Consumers must balance the risks and costs they delegate against the ones they assume.

	Reduced / Removed	Introduced / Imposed
Cost	Costs reduced by the **service** (the intended value proposition).	The **actual financial cost** of service consumption.
Risk	**Risks delegated to the provider** (e.g., delegating road safety to a driverless car service).	**New risks introduced by consuming the service** (e.g., cyber-security incidents in a driverless car).

ITIL Car Rental | Risks



Maria: When using our driverless cars, customers delegate to us all risks related to road safety. We take responsibility for ensuring an accident-free journey and guarantee that all our vehicles are road-worthy. At the same time, in the unlikely event of a software error or cyber-security incident, the customer's journey could be affected. Such risks would not typically arise if the customer was driving their
own car or using a traditional taxi service.



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Recap: Key learning points

- The **purpose** of **product** and **service management** is to **ensure** that digital products support the effective delivery of services that enable value co-creation throughout their lifecycle.
- **Products** provide **capabilities**, while **services** enable **value realization** through their **consumption** by customers and other stakeholders.
- **Service interactions** can take the form of **service actions**, **transfer of goods**, or **access to resources** to enable outcomes.



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Quiz

Questions:

1. What is a digital service?
   A. A service that fully or largely relies on digital products
   B. A combination of technology resources designed for consumers
   C. The transfer of goods from provider to consumer
   D. A catalogue of services for consumers

2. What influences whether a service is perceived as valuable by a consumer?

   A. The service provider's ability to minimize their operational costs

   B. The number of providers delivering the service to the consumer

   C. The extent to which the positive effects of the service outweigh the negative ones

   D. The amount of money the service provider invests in resources

3. What is a digital product?
   A. A formal description of one or more services designed to address consumer needs
   B. The access to the service provider's resources and their use according to the agreed terms and conditions
   C. A combination of an organization's resources based on digital technology and designed to offer value to consumers
   D. Actions performed by a service provider or jointly by a service provider and consumer

Discussion | Service value exploration

Select a real-life service from your own professional experience. Identify and discuss the following aspects:

- The **provided service.**
- **Outcomes** the customer aims to achieve.
- **Risks and costs** both introduced and imposed by the service.
- **Value perspective**: What makes the service valuable from the consumer's standpoint?



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